

Question: Does Trade Benefits Everyone Equally?

Answer: Trade can benefit many participants, but not everyone benefits equally or immediately. Let's break it down from the perspectives of different type of products and how they affects consumers and producers:

1. Products that we do not produce at all or just only assemble.

Crude oil, fuel, some Petroleum products, gold, military weapon, pharmaceutical raw materials, capital mechnary, semi-conductor, train boggy, poppy seeds etc are the products that Bangladesh do not produce domestically rather import from another country. Like, crude oil/fuel is imported from Millde East, Gold from Dubai, semiconductor from China, Military weapon from Russia etc. These products that do not produce domestically rather imported benefits consumers, producers, military or state.

Consumers benefits because they get access to the products they wouldn't otherwise. They also have now more options to choose and is the products produced by efficient producers, the price may low.

Producers benefits because they can import raw materials to produce final goods.

For example, Crude Oil - Not Produced in Bangladesh.

Bangladesh has no significant reserves of crude oil, and it does not produce any commercial quantity of it. To meet its energy needs, Bangladesh imports 100% of its crude oil from countries like Saudi Arabia, Kuwait, and the UAE.

How trading crude oil benefits Bangladesh:

Consumers: Crude oil is refined into fuel that powers cars, buses, trucks, and even electricity plants. By importing oil, people in Bangladesh can enjoy transportation, electricity, and modern conveniences.

Producers: Businesses - from factories to delivery companies - rely on fuel to operate. Importing oil supports economic activity by keeping transportation and industries running smoothly.

But all types of Consumer and producers do not benefit equally.

Importing crude oil, benefits consumers, but not all equally. Urban and high-income consumers usually benefit more, as they rely heavily on fuel-based transport, electricity, and modern goods. Rural or low-income consumers may benefit less or only indirectly. While all consumers gain from overall economic growth and improved services, those who use less energy or are more price-sensitive may feel less impact or even face higher costs if import prices rise.

Similarly all type of producers do not benefit equally.

Large industries and energy-dependent businesses gain the most, as oil helps power factories,



transport, and production. Some agricultural and service producers benefit too, especially if they rely on fuel or electricity. However, small-scale or informal producers may benefit less, and can even struggle if import prices rise, increasing their costs. So, while the overall impact is positive, the level of benefit varies by type and size of producer.

2. Products that we produce and import as well; import for higher quality.

Bangladesh produces many products locally but still imports certain versions of them due to higher quality, better technology, or brand preference.

Rice: Bangladesh is one of the world's top rice producers. But High-quality or specialty rice like basmati from India or Pakistan is imported for taste, aroma, or export blending.

Electronics (like smartphones, laptops): Bangladesh assembles and manufactures basic electronics. (e.g., Walton, Symphony). Moreover, Brands like Apple, Samsung, Dell are imported due to higher quality, advanced features, and brand value.

Textiles and Fabrics: Bangladesh is a global leader in garment production. But High-end or specialty fabrics (e.g., Italian silk, Japanese denim) are imported for premium clothing or export purposes.

Edible Oil: Local production includes soybean and mustard oil. High-quality olive oil, sunflower oil, or refined versions are imported for health-conscious or premium consumers.

Cosmetics: Bangladesh imports cosmetic products, despite having a growing local industry. While domestic manufacturers like Unilever Bangladesh, Keya cosmetics produce a significant portion of personal care items, certain high-quality or specialized products are still imported. For instance, color cosmetics such as lipsticks, foundations, and mascaras often come from countries like India, China, and the United Kingdom. In 2023, India was the largest exporter of cosmetics to Bangladesh, accounting for 72% of the total imports.

Bangladesh also import chocolates and baby food despite having local production due to preference for high quality.

Importing products that are also produced domestically can benefit both consumers and producers. Consumers enjoy more choices, better quality, and competitive prices.

But this type of trade does not benefit all consumers equally. Higher-income and urban consumers benefit more due to better access and ability to afford imported goods. Lower-income and rural consumers may have limited access or be affected by price changes. Overall, the benefits vary depending on income, location, and individual needs.

Producers are encouraged to improve their products, innovate, and learn from international standards. Imports also help fill supply gaps when local production isn't enough.



But trade can also be harmful for local producers. Small producers may struggle to compete with established international brands. Market share can decrease if consumers prefer imports over local options. So, excessive imports can hurt local producers.

3. Products that we both produce and import; import occurs due to lower price (i.e. local product is expensive) or higher demand.

Sugar, rice, wheat, onion, garlic, fish, cows, fruits, toys, bicycle etc are the goods that locally produced in Bangladesh but local production is insufficient. Moreover, importing these products are cheaper i.e. global suppliers are cheaper.

1. Urban Middle and Upper Class benefit most from this type of imports due to access to more variety (e.g., imported fruits, fashion, electronics) And ability to afford better quality or branded goods.

2. Price-Conscious Consumers i.e. often rural or low-income class benefit from cheaper imports.

But local Producers/farmers can face challenges.

They have to compete with cheaper imported alternatives, which can lower their income and create pressure to reduce prices. Moreover, during import shocks when import prices rise, low income consumers can also suffer.

For example, In late 2019, India suddenly banned onion exports to Bangladesh due to poor domestic harvest. Bangladesh heavily relied on Indian onions for affordable supply. As a result, onion prices in Bangladesh shot up 3-4 times almost overnight, from around Tk 30–40/kg to Tk 200/kg in some areas. Low income consumers, small restaurant, street Vendors suffered most. Local farmers (initially), middleman and hoarders benefited.

4. Products that are luxurious.

Bangladesh imports a range of luxury products, primarily to meet the demands of the wealthier urban population. These are typically high-end, non-essential items with premium prices. Such as:

Luxury Vehicles (Mercedes-Benz, BMW, Audi, Lexus, Range Rover); High-End Electronics (iPhones, premium Samsung phones, Apple MacBooks, gaming consoles, smart TVs); Branded Clothing & Accessories (Gucci, Louis, Armani, Zara); Premium Watches & Jewelry (Rolex, Omega, Tag Heuer); Home Décor and Furniture (luxury furniture, kitchenware, and décor from Italy, Turkey, Malaysia, etc.)



Wealthy Individuals & Elite Families mostly located in urban centers like Dhaka, Chittagong, Sylhet, returning migrants, corporates or institutions (imports luxurious products to image building, client gifts) benefit the most from the importation of luxurious products.

Lower-income groups and rural populations usually do not benefit from luxury imports at all. These items are far outside their budget and have little relevance to their daily needs. In fact, high demand for luxury items can sometimes lead to currency outflows or policy bias favoring urban elites.

From the above, it can be said that, trade can increase overall economic efficiency and wealth, but the gains and losses are unevenly distributed. Consumers can be benefitted but benefits may vary depending on location, income level and market conditions. Hence, some producers and workers may suffer in the short to medium term unless policies are in place to help them adapt. One of the example includes our weaving industry which is almost on the verge of destruction. Here comes the role of state.

The state can play an important role to manage the negative impacts of trade while still allowing society to benefit from its overall gains. Here's how the state can act:

- The state can redistribute some of the gains from trade to support those who are negatively affected. This might involve - Unemployment benefits or temporary income support. And retraining and education programs to help workers transition to new industries.
- Government can provide "tax holiday" to local industries and invest in industries likely to thrive under new trade pattern.
- Government can provide Basic safety net and protection.
- The government can impose import tariffs at a tolerable level.

